THE BURTON INN

EXHIBIT D - PROJECTED ANNUAL OPERATING BUDGET - STABILIZED YEAR

eb20261113

OPERATING	*"THE BURTON INN"*, VASHON ISLAND	SHARED	INN ROOMS	FOOD & BEV
ESTIMATED TOTALS	SHARE OF REVENUE	100.0%	33.7%	66.3%
STABILIZED YEAR	PROJECTED GROSS REVENUE	$465,662	$156,950	$308,712
$356,980.99	ANNUAL BUDGET SUMMARY	$92,070.00	$52,706.91	$212,204.08
$29,748.42	MONTHLY ALLOCATION	$7,672.50	$4,392.24	$17,683.67
	COST AS % OF REVENUE	19.8%	33.6%	68.7%

			ANNUAL BUDGET DETAILS		SHARED		INN ROOMS		FOOD & BEV
		5.5%	**Property Costs - Tier One**						
$	8,500.00	43.6%	Real estate taxes (actual) **	$	8,500.00	$	-	$	-
$	6,500.00	33.3%	Building insurance **	$	6,500.00	$	-	$	-
$	1,200.00	6.2%	Cleaning and maintenance **	$	1,200.00	$	-	$	-
$	600.00	3.1%	Fire and safety **	$	600.00	$	-	$	-
$	900.00	4.6%	HVAC maintenance and repairs **	$	900.00	$	-	$	-
$	600.00	3.1%	Landscaping and grounds **	$	600.00	$	-	$	-
$	1,200.00	6.2%	Repairs - general **	$	1,200.00	$	-	$	-
$	**19,500.00**	**100.0%**	**Total Property Costs**	**$**	**19,500.00**	**$**	**-**	**$**	**-**
		9.6%	**Utilities**						
$	21,000.00	61.4%	Electricity *	$	21,000.00	$	-	$	-
$	1,800.00	5.3%	Natural gas (water heater) *	$	1,800.00	$	-	$	-
$	3,600.00	10.5%	Water *	$	3,600.00	$	-	$	-
$	2,400.00	7.0%	Garbage *	$	2,400.00	$	-	$	-
$	1,200.00	3.5%	Recycling *	$	1,200.00	$	-	$	-
$	3,000.00	8.8%	Internet and phone *	$	3,000.00	$	-	$	-
$	1,200.00	3.5%	Pest control	$	1,200.00	$	-	$	-
$	**34,200.00**	**100.0%**	**Total Utilities**	**$**	**34,200.00**	**$**	**-**	**$**	**-**
		75.9%	**Operational Expenses**						
$	15,330.00	5.7%	Housekeeping labor	$	-	$	15,330.00	$	-
$	5,840.00	2.2%	Laundry and linens	$	-	$	5,840.00	$	-
$	4,380.00	1.6%	Room amenities	$	-	$	4,380.00	$	-
$	17,656.88	6.5%	Booking platform commissions	$	-	$	17,656.88	$	-
$	88,863.60	32.8%	Food and beverage cost of goods	$	-	$	-	$	88,863.60
$	94,787.84	35.0%	Kitchen, bar and counter labor	$	-	$	-	$	94,787.84
$	13,969.86	5.2%	Credit card fees	$	-	$	4,708.50	$	9,261.36
$	24,000.00	8.9%	Business insurance and licenses	$	24,000.00	$	-	$	-
$	6,000.00	2.2%	Software, POS and marketing	$	6,000.00	$	-	$	-
$	**270,828.17**	**100.0%**	**Total Operational Expenses**	**$**	**30,000.00**	**$**	**47,915.38**	**$**	**192,912.80**
$	**32,452.82**	**9.1%**	**10% Contingency Reserve**	**$**	**8,370.00**	**$**	**4,791.54**	**$**	**19,291.28**
$	**356,980.99**	**100.0%**	**TOTAL ANNUAL OPERATING BUDGET**		**$92,070.00**		**$52,706.91**		**$212,204.08**

*** Billed to tenant; copies to owner**
**** Tier One: paid by tenant at actual cost**
Utility and upkeep figures are estimates until bills and quotes are in. Most upkeep labor is done by the tenant.
Stabilized year at the target case: 50% occupancy at $215 a night. Year 1 and the floor case are on page 2.

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EXHIBIT D - YEAR 1, ROOMS ONLY, FLOOR AND TARGET

ANNUAL BUDGET BY CASE	YEAR 1 (kitchen mid-year)	ROOMS ONLY (no kitchen)	FLOOR (stabilized)	TARGET (stabilized)
Projected Revenue				
Inn rooms	$ 117,712.50	$ 156,950.00	$ 110,376.00	$ 156,950.00
Food and beverage	$ 115,767.00	$ -	$ 166,260.00	$ 308,712.00
Projected Gross Revenue	**$ 233,479.50**	**$ 156,950.00**	**$ 276,636.00**	**$ 465,662.00**
Property Costs - Tier One				
Real estate taxes (actual) **	$ 8,500.00	$ 8,500.00	$ 8,500.00	$ 8,500.00
Building insurance **	$ 6,500.00	$ 6,500.00	$ 6,500.00	$ 6,500.00
Cleaning and maintenance **	$ 1,200.00	$ 1,200.00	$ 1,200.00	$ 1,200.00
Fire and safety **	$ 600.00	$ 600.00	$ 600.00	$ 600.00
HVAC maintenance and repairs **	$ 900.00	$ 900.00	$ 900.00	$ 900.00
Landscaping and grounds **	$ 600.00	$ 600.00	$ 600.00	$ 600.00
Repairs - general **	$ 1,200.00	$ 1,200.00	$ 1,200.00	$ 1,200.00
Total Property Costs	**$ 19,500.00**	**$ 19,500.00**	**$ 19,500.00**	**$ 19,500.00**
Utilities				
Electricity *	$ 21,000.00	$ 21,000.00	$ 21,000.00	$ 21,000.00
Natural gas (water heater) *	$ 1,800.00	$ 1,800.00	$ 1,800.00	$ 1,800.00
Water *	$ 3,600.00	$ 3,600.00	$ 3,600.00	$ 3,600.00
Garbage *	$ 2,400.00	$ 2,400.00	$ 2,400.00	$ 2,400.00
Recycling *	$ 1,200.00	$ 1,200.00	$ 1,200.00	$ 1,200.00
Internet and phone *	$ 3,000.00	$ 3,000.00	$ 3,000.00	$ 3,000.00
Pest control	$ 1,200.00	$ 1,200.00	$ 1,200.00	$ 1,200.00
Total Utilities	**$ 34,200.00**	**$ 34,200.00**	**$ 34,200.00**	**$ 34,200.00**
Operational Expenses				
Housekeeping labor	$ 11,497.50	$ 15,330.00	$ 11,037.60	$ 15,330.00
Laundry and linens	$ 4,380.00	$ 5,840.00	$ 4,204.80	$ 5,840.00
Room amenities	$ 3,285.00	$ 4,380.00	$ 3,153.60	$ 4,380.00
Booking platform commissions	$ 13,242.66	$ 17,656.88	$ 12,417.30	$ 17,656.88
Food and beverage cost of goods	$ 33,323.85	$ -	$ 48,918.00	$ 88,863.60
Kitchen, bar and counter labor	$ 35,545.44	$ -	$ 52,179.20	$ 94,787.84
Credit card fees	$ 7,004.39	$ 4,708.50	$ 8,299.08	$ 13,969.86
Business insurance and licenses	$ 24,000.00	$ 24,000.00	$ 24,000.00	$ 24,000.00
Software, POS and marketing	$ 6,000.00	$ 6,000.00	$ 6,000.00	$ 6,000.00
Total Operational Expenses	**$ 138,278.83**	**$ 77,915.38**	**$ 170,209.58**	**$ 270,828.17**
Budget, Rent and Result				
10% Contingency Reserve	$ 19,197.88	$ 13,161.54	$ 22,390.96	$ 32,452.82
TOTAL ANNUAL OPERATING BUDGET	**$ 211,176.71**	**$ 144,776.91**	**$ 246,300.54**	**$ 356,980.99**
Tier Two rent to owner ****	$ 23,347.95	$ 19,800.00	$ 27,663.60	$ 46,566.20
TOTAL COST INCLUDING RENT	**$ 234,524.66**	**$ 164,576.91**	**$ 273,964.14**	**$ 403,547.19**
NET AFTER ALL COSTS	**$ (1,045.16)**	**$ (7,626.91)**	**$ 2,671.86**	**$ 62,114.81**
Rent and property costs as a share of revenue	18.4%	25.0%	17.0%	14.2%

Year 1: target case with a staged opening. Rooms reach 75% of a stabilized year; the kitchen and bar open halfway through the year.
Rooms only: target-case rooms for a full year with the kitchen and bar not open.
Floor: 36% occupancy at $210 a night, with a slower bar, fewer dinners and half the breakfast trade.
Fixed costs are shown for a full year in every case.
****** 10% of gross revenue. No minimum in Lease Year 1; from 2028, not less than $19,800 a year. Before the $70,000 rent advance is credited.**